Zheyuan (Kevin) Cui

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References

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Education

2021 – 2027 (Expected)	**Princeton University** Ph.D. Candidate in Economics, Bendheim Center for Finance Expected Graduation: May 2027	Princeton, NJ, USA
2019 – 2021	**University of California – Los Angeles** M.A. in Mathematics (Ph.D. Course Track)	Los Angeles, CA, USA
2017 – 2021	**University of California – Los Angeles** B.S. in Applied Mathematics (Highest Honor), Economics (Highest Honor)	Los Angeles, CA, USA

Research Interests

Asset Pricing, Fixed Income, Financial Intermediary, AI & Productivity

Job Market Paper

Tax Heterogeneity, Duration Risk, and the Term Structure: An Application to the Municipal Bond Puzzle [Link to Paper] [SSRN]

Abstract: I develop a term-structure model in which investors with heterogeneous taxes and balance sheets choose taxable and tax-exempt bonds jointly across maturities under short-sale constraints. Taxes and risk-bearing capacity endogenously segment bond ownership, making the tax rate embedded in yields vary with maturity. The literature benchmarks tax-exempt municipal bond yields against the after-tax taxable bond yields of top-bracket households, the highest-tax investors. The model explains the municipal bond puzzle: short-term municipal yields closely match this benchmark, but thirty-year yields exceed it by 118 basis points. Lower-tax investors with liabilities that offset interest-rate risk bear duration risk more cheaply, so they hold long

municipal bonds and long yields reflect their lower taxes. Without targeting municipal yields, the calibrated model explains 83 percent of this gap. Empirical tests confirm the model's prediction that household tax effects weaken with maturity while those of lower-tax investors strengthen.

Publication

The Effects of Generative AI on High-Skilled Work: Evidence from Three Field Experiments with Software Developers *with Mert Demirer, Sonia Jaffe, Leon Musolff, Sida Peng, Tobias Salz.* [Link to Paper]

Coverage: *New York Times, 2025 Economic Report of the President*
***Management Science*, Forthcoming**

Abstract: This study evaluates the effect of generative AI on software developer productivity via randomized controlled trials at Microsoft, Accenture, and an anonymous Fortune 100 company. These field experiments, run by the companies as part of their ordinary course of business, provided a random subset of developers with access to an AI-based coding assistant suggesting intelligent code completions. Though each experiment is noisy and results vary across experiments, when data is combined across three experiments and 4,867 developers, our analysis reveals a 26.08% increase (SE: 10.3%) in completed tasks among developers using the AI tool. Notably, less experienced developers had higher adoption rates and greater productivity gains.

Working Papers

Familiarity in International Equity Investment: Concentrated Value, Pervasive Allocation Bias *with Yinan Qiu. [Link to Paper]*

Abstract: Does familiarity convey information or produce bias? Using 2000–2024 data from 1,663 active U.S. international equity funds and managers' foreign education as a familiarity proxy, we examine both country allocation and stock selection. Funds overweight education-linked countries, yet these sub-portfolios do not outperform. Within familiar countries, the most active quartile of stocks earns a monthly five-factor alpha of 41 basis points, while the remaining holdings earn no significant alpha. The overweight persists after removing top-quartile stocks. Familiarity's value is concentrated, its allocation footprint pervasive: information and bias coexist at margins that country-level averages obscure.

How Hidden Local Government Debt Shapes Shadow Banking Competition: Evidence from Wealth Management in China *with Tao Shen, Tianqi Zhi. [Link to Paper]*

Abstract: Using granular holdings data on China's RMB 33 trillion wealth-management market, we study how government support for borrowers shapes competition in shadow banking. Smaller banks sought to gain an edge over larger rivals by reaching for yield in bonds issued by local government financing vehicles (LGFVs) in their home provinces. The 2023 debt resolution initiative reinforced expectations of support for LGFVs and reduced their bond credit spreads, thereby reshaping shadow banking activity. The extra return from home-province LGFV bonds fell by 69%. Larger local banks replaced part of the lost yield with riskier, privately negotiated LGFV-linked credit, an opaque form of financing that requires scale to arrange. Smaller banks replaced little of the lost yield, and their product returns and wealth-management balances subsequently fell relative to those of larger banks. Government support for borrowers can thus erode smaller banks' competitive edge and shift shadow banking toward larger intermediaries and more opaque credit.

Work in Progress

The Limits of Debt Discipline: Risk-Based Regulation and Shadow Finance *with Tao Shen, Wei Xiong, Tianqi Zhi.*

Abstract: We study where public borrowing goes when regulators discipline it by risk. China caps bond borrowing by local government financing vehicles (LGFVs) in regions it rates as high risk, and in 2023 it refinanced LGFV debt with government bonds, mostly in those same regions. With the infrastructure projects behind this borrowing still under way, we find that discipline largely moves the borrowing rather than removing it. First, it moves across regions. Borrowing slows in high-risk regions, which later grow more slowly, but keeps rising in regions seen as fiscally stronger, despite weak investment returns. Second, it moves into shadow finance. LGFVs facing rating-based limits on bond issuance turn to costly nonstandard loans from trusts and leasing companies. The 2023 relief lowered bond risk but not the risk of these loans, and for the same borrower the gap between nonstandard and bond rates widened by 176 basis points. Relief aimed at the riskiest regions also invites moral hazard, as regions that received less of it keep expanding into costly nonstandard debt. Debt discipline can make the bond market look safe while risk builds where it is costlier and harder to see.

Languages

Chinese (native), English (fluent)
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